

- In your trade, look to the left of the Adam peak where price trends up to the double top. If the stock *at confirmation* is resting on a knot of support, then don't take the trade. Expect the stock to bounce off that knot and maybe bust the downward breakout. It's too high risk to short the stock.
- Look for the first knot of support *below confirmation*. The top of that knot is your price target. Price will often drop to the top of that area right after a breakout and reverse there. It's a good time and price to close out the trade.
- If the knot of support is well down the price trend (such as when price makes a swift rise up to the double top), the stock likely won't make it back down to the knot, at least not in the first few days. Measure the move from the knot to the confirmation price and divide by three or maybe half, then subtract the result from the confirmation price. That's your target.
- [Figure 31.4](#) shows an example of this strong move up to the Adam peak. There's no support area (no place where price goes horizontal for 3 or more days) along that run, so slice the height of the run in half or thirds and measure down that far from the confirmation price as your target.

[Table 31.11](#) Special Features

Trading Tactic	Performance
Small top-to-top variation	15%
Large variation	17%
Median top-to-top variation	1%
Lower left top	16%
Lower right top	15%

- Sometimes price will bottom in an irregular fashion (before the Adam peak), with several valleys touching an up-sloping trend. Connect those valleys with a trendline. That's your target. This works with a loose-looking up-and-down movement that's quite wavy but seems to bottom along the trendline. That trendline, extended into the future, is